WHITE PAPER · GCC STRATEGY AND BUILD

Owning the Capability

A leadership perspective on building a captive Global Capability Center, and on moving to one from a partner-run model

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Based on first-hand experience. This paper draws on my own experience of setting up a captive GCC at a global industrial technology company, from the business case to a scaled centre, including its move out of a partner-run model. The set-up and the transition were carried out during the COVID-19 pandemic.

SUMMARY

Many global businesses reach a point where an offshore engineering or technology capability, run for years through a partner, has outgrown the model that created it. The question stops being how to run the partnership better and becomes whether to own the capability. This paper sets out how that question can be framed, the structural decisions that determine whether a Global Capability Center (GCC) succeeds, how to earn and keep the mandate, how to handle resistance from the business, the partner and the people, how to move without disrupting live work, and how to build a centre that attracts more work over time. The lessons apply equally to organisations starting without an incumbent partner.

01

The question leaders actually face

Partner-run offshore centres are a sound answer to a particular stage of a business. They bring speed, scale and cost discipline when the capability is new and the demand is uncertain. The difficulty arrives later. After years of working well, the arrangement begins to carry costs that neither side created and neither side can easily fix from inside it.

Leadership teams tend to feel these costs before they can name them. Decisions are taken somewhere they cannot see. Global managers do not know the people doing the work well enough to shape it. The scope of what the centre can take on seems to depend more on the partner's ambitions than on the business roadmap. Hiring strong talent is harder than it should be, because the people are guests in someone else's premises with no identity of their own.

The strategic question is therefore not whether the partner is performing. It is whether the cost of staying in the model, measured in control, visibility, optionality and talent, now exceeds the cost of owning the capability. That is a question about the future shape of the business, and it should be answered against the business roadmap rather than against today's workload.

> *None of this is a failure of the partner. These are structural limits of a model once a business outgrows it.*

02

The strategic case for ownership

In my experience the case rests on six dimensions. Each can be tested honestly, and a case that cannot answer all six should not proceed.

DIMENSION	IN A PARTNER-RUN CENTRE	IN AN OWNED GCC
Control	The partner runs the day to day. The business has little leadership on the ground.	The business's own leadership is present and accountable.
Visibility	A limited view of the activities and decisions inside the partner.	A direct view for global managers, with the same processes they know.

Scope	Set by the partner's own aspirations.	Set by the business roadmap, including new technologies and product work.
Risk	Dependence on one partner, with no room to add others.	The option to work with several partners, a risk-mitigation step in its own right.
Talent	People work as guests in the partner's premises.	A distinct employer identity and workplace that attracts talent.
Certainty	Exposure to the changing politics of outsourcing, which can be acute for a business headquartered in one country and delivering from another.	Insourced and predictable. The sensitivity is addressed early, before it becomes a live variable.

Two points deserve emphasis. First, optionality is easy to undervalue. An owned centre does not mean the end of partners. It means the business chooses which partners to use, for what, and on its own terms. Second, the identity of the centre is part of the strategy rather than a by-product of it. A distinct workplace and employer brand changes who is willing to join, and over a multi-year horizon that matters more than most line items in the business case.

03

The decisions that shape the model

Before any move begins, four structural calls determine the shape of what follows. They are strategic in the sense that they are expensive to reverse and they set the terms for everything else.

Where, and in what legal form

Location and zone options should be weighed on their real benefits and trade-offs. In my case the choice of a special economic zone was decisive, because it meant the benefits of the zone would accrue to the business rather than to a partner that had previously enjoyed them. The principle generalises: be clear about who captures the value of each structural choice before making it.

The commercial structure

The commercial arrangement with the partner should be redrawn so that, for all legal purposes, the partner works with the new entity, while the partner itself sees as little change as possible in how it is engaged and paid. That is a deliberate design goal. A transition that leaves the partner whole preserves goodwill during the move, keeps the option of working with several partners alive, and removes a source of friction at the moment the business can least afford it.

The institution behind the centre

A new entity needs its financial backbone, its support functions for finance, IT, procurement, facilities and HR, and the leaders to run them. Hiring those leaders early matters more than it appears, because they become the first evidence to global teams that the centre can stand on its own.

How the change itself is governed

Government approvals and compliance should be run through specialist advisers rather than learned on the job, and the existing partner and chargeback agreements should be redrawn to reflect operation from a GCC. These are the matters that quietly delay programs, and each deserves an owner from the start.

04

Earning the mandate

A first-of-its-kind move inside an organisation will meet real questions and apprehensions, and it should. The case for ownership has to be built to answer them rather than to bypass them.

In practice this means a multi-year growth roadmap tied to the growth of the global business, with the financial benefits, the risks and the effect on existing service agreements all set out. It means identifying everyone who has to be convinced and meeting each concern directly. That group typically spans global business leadership and finance, the heads of HR and R&D, the leadership of the host country, regional finance, real estate, procurement and HR teams, the partner’s own teams, and the local and global managers who will live with the result.

Backing earned at the top also has to be earned again. The case was approved before the pandemic, and the facility and layout planning and internal approvals were complete before the first lockdown. The lockdown then paused the program for a period, with significant financial commitments already in place. The right response was to revalidate the case in full before

restarting, in a world that had changed, rather than to assume the original approval still held. That discipline protected the program's credibility, and it is a good habit for any long-horizon investment.

> *A mandate is not granted once. It is renewed each time conditions change.*

05

Navigating resistance on every side

No program of this kind is welcomed by everyone, and it would be a mistake to expect it to be. Resistance arrives from three directions, each with its own logic, and each has to be understood on its own terms.

Inside the business: why disturb a smooth-sailing boat?

The most legitimate question, and the one that deserves the most respect, comes from the business's own program teams. The business is venturing into something it has never tried, and it will have to own much that the partner used to carry, a good deal of it outside the projects themselves. In a partner-run model, responsibility sits with the partner and the business receives the work, at a cost. To teams focused on delivery, a move that adds overhead and risk to a boat that is sailing smoothly is hard to justify.

This is where the argument for cost needs care. Where cost is not the primary concern, the savings from a new centre have very little appeal, and a leader who leads with savings will lose the room. Cost alone is rarely enough to win over everyone. What persuades is what ownership adds: visibility, control and an expanded capability that the partner model could not offer.

On the partner's side: the fear of losing control

The partner's concerns are the mirror image. A partner that has helped shape the relationship for years may fear losing its ability to set the terms, and some financial impact is natural. Concerns of this kind seldom appear as open opposition. They tend to appear as friction at the working level, in delays, caveats and requests for clarification that never quite end.

The mandate for the new set-up therefore needs buy-in from the partner's senior leadership, not only from its working teams. It also needs a balance of incentive and firm expectation, the proverbial carrot and stick: a clear sense of what the partner gains by being a constructive participant in the transition, and a clear understanding of what is expected of it.

Among the people: resistance to change

The people whose work is moving, and those who support them, including on the logistics side, will have apprehensions of their own. This is resistance to change in its most human form. It is not irrational. It is a question about their own future, and it deserves an answer.

What worked: taking everyone along

In every case the response was the same. Work closely with the partner and internal teams, and take them along the journey. That means real opportunities for two-way communication, so that concerns are heard and can shape the plan, and a level of transparency about what is changing and why. These matters have to be handled delicately, because a concern that is dismissed tends to return later as a roadblock.

It also means keeping senior leadership updated on progress at regular intervals, and seeking their support openly rather than quietly. A sponsor who is kept informed can act early. A sponsor who is surprised cannot.

> *Resistance is information. The programs that succeed are the ones that listen to it early.*

06

Protecting the business through the move

The transition is where most of the risk sits, and where the reputation of the program is won or lost. Ours took place in the middle of the pandemic, which added to every one of the risks below. Three kinds of risk had to be managed at once.

- **Business risk.** Live projects must not be disrupted. We built the plan around readiness gates with go and no-go decisions, defined fall-back options at each stage, and a move carried out in waves rather than all at once.
- **Physical risk.** Relocating and re-commissioning a very large hardware laboratory without losing project time is a program in itself, and should be planned as one.
- **People risk.** Apprehension about a move is natural, and it was deepened in our case by the uncertainty and doubts the pandemic brought. It has to be handled directly with teams and with their managers, throughout, and not left to communications material.

The outcome was a go-live with zero disruption to live projects, in the middle of the pandemic. Conditions of that kind sharpen the lesson. Delivery protection is the strategy, not a constraint on it. The economic benefits of ownership followed because the transition left live work undisturbed. A program that saves money but disrupts customers has not succeeded.

07

Building an institution that earns more work

A centre that is merely functional will be used for what it is given. A centre that is trusted will be given more. Four things build that trust.

Governance

Statutory representation, audit readiness across client, statutory and data-privacy audits, and a continuity plan that is tested in practice rather than only documented. Ours was proven during the pandemic lockdowns, when the whole organisation had to work remotely at short notice.

Talent and culture

A deliberate leadership pipeline, structured talent reviews with the global head of the function, and wellbeing designed in from the first day rather than added later. People who see a path stay, and the people they lead stay with them.

Digital enablement

Practical platforms that make the centre more efficient than the model it replaced: hardware traceability that reduced spending on new equipment and improved availability, digitised approvals, and tracking of partner work with auditable records.

The confidence of global teams

Global teams should experience the centre as seamless. They should see no difference in how projects, materials and people move, and they should gain a better sense of control and visibility than they had before. This is not a communications exercise. It is the product of defined processes, dedicated support and a willingness to take their input.

That confidence is what moves work. In our case it moved more work in than the original case had assumed.

08

Scaling the mandate

Demand outgrew the business case. Headcount grew far faster than planned, a second centre followed, more product lines moved in, and the charter widened from taking on transferred work to contributing to product and innovation aligned with global R&D priorities. Savings came in at 10 to 15% beyond the original business case, driven by the structure of the set-up and by the economics of insourcing.

Success of this kind creates its own problems, and it is worth planning for them. A plan that is deliberately conservative, as ours was for a first-of-its-kind move, will tend to be outgrown. In hindsight, the better course would have been to design for the upside from the beginning, with a larger facility, rather than going through an expansion phase that left two sites physically separate. The general principle is to build the case on the prudent scenario and the capacity on the plausible one.

09

Leading through influence

One of the less discussed features of a GCC leadership role is that the functions the centre depends on often report along separate lines: HR, finance, IT and procurement answer to their own functional heads, and so results come through influence rather than authority.

What worked was a clear shared outcome, regular rhythm, and visible results. Weekly governance reviews gave everyone the same picture. Where the leader owns some functions directly, such as facilities and logistics, those become the demonstration that the model works, and the leaders of the others are drawn in by seeing it.

A related point is that the senior leader of a GCC is also the principal interface between global headquarters and the local organisation. The role requires equal credibility in both directions.

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Starting without an incumbent partner

The same decisions apply when there is no partner to move from. The questions of whether to own, where to locate, how to structure the entity, which functions to build first and how to phase the ramp are identical. The differences are that the risk of disrupting live work is replaced by the risk of building capability faster than the business can use it, and that the case should be built around a clear first mandate and a staged path to a wider one.

In both situations, the central discipline is the same: define the mandate narrowly enough to deliver quickly, and structure the centre broadly enough to grow.

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Questions to ask before starting

A SHORT CHECKLIST FOR LEADERSHIP TEAMS

- Does the cost of staying in the current model, in control, visibility, optionality and talent, now exceed the cost of owning the capability?
- Is the case built on the business roadmap rather than today's workload?
- Who captures the value of each structural choice, and is that the intended outcome?
- Can the partner transition be designed so that the partner sees minimal change?
- Who must be convinced, and what is each person's real concern?
- What are the readiness gates, and what is the fall-back at each?
- How will global teams experience the centre in its first month, and how will they experience it in its second year?
- Where will resistance come from, in the business's program teams, at the partner and among the people, and what does each need to hear?
- Is there buy-in at the partner's senior leadership as well as at the working level, and a clear balance of incentive and expectation?
- Is senior leadership updated regularly, and is their support sought openly?
- Is the capacity plan built for the plausible case or only the prudent one?
- Who owns the centre's identity as an employer?

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Where I can help

I work with leadership teams at the points where this decision is made and executed:

- **Build-or-partner assessment.** Whether and how to own the capability, weighed against its cost and risk.

- **Set-up and transition design.** Structure, location, entity, leadership and, where relevant, partner exit.
- **Program leadership.** Interim leadership through the transition, with executive alignment.

Organisations that already run a partner-run centre which has outgrown its original model are a particular focus. The question of whether, and how, to bring such a capability in-house without disrupting delivery is one I am glad to discuss.

About the author. Raghunandan Gopalan has spent three decades across engineering, R&D, PLM and supply chain, on both the services side and the client side. At Schneider Electric he led the move of a core engineering capability from a partner-run model to a captive Global Capability Center in India, and led the supply response that restored delivery of Process Automation products through the global component shortage. He advises leadership teams on GCC strategy and set-up, and on supply resilience.

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